

*Wave Theorist* explained the implications of a very broad one-day drop this way: "The incredible 1631 issues showing declines on January 24 proved that the general investing public was indeed panicked by the avalanche of bad news stories, and rushed to sell all sorts of old dusty stock certificates. While anything can happen, it just couldn't be market justice to allow that type of seller back in at lower prices." Market justice prevailed, as prices immediately soared. The way the market will soon treat today's confident investors is the flip side of how it treated the fearful ones in the early stages of the bull market. Market justice will prevail again, as always, and today's buyers will not be allowed another chance to sell at high prices once the trend reverses. Complacency will turn to concern and then capitulation in a cycle that never ceases; it is only a matter of time.

How will investors view the start of the bear market? As a hint, polls conducted by brokerage firms reveal that during the 9% drop in stocks in early 1994, public buyers outnumbered sellers by more than two to one. As another hint, one of the few remaining short selling funds in the country gained a whopping 60% in the first half of 1994, and guess what. More money left the fund than entered! The average investor, who has no clue about the behavior of markets, is fearless of a major market decline. He has "learned" that every pullback is a chance to buy. When the first big down day, week, month or even year hits, it will actually change few people's opinion. Recall that 80% of all the money committed to stock mutual funds over the last 70 years has been committed in the last 5½ years at an average price of 3540 on the Dow. This statistic not only speaks to the level of optimism that created it, *it also explains why people have to stay bullish and hopeful in the face of any contrary evidence.* The cognitive dissonance of turning bearish so soon after becoming heavily invested will be too great for most people to handle. With that sentiment in place, investors will be exquisitely primed to buy all the way down. When the first decline occurs, assurances will fly that the fall is a "gift," "no big deal," "just another buying opportunity," "healthy," and "a bargain." Newspapers will fill their pages with interviews of both professional and novice investors expressing limitless confidence in the long term uptrend. Professionals will continue to give decisive advice to buy more, and public investors will brag about their maturity in feeling no fear. In delivering the Pavlovian response that the market has worked hard to engender, investors will buy more into weakness, certain that the long